

and told him that I had an offer to work for Marty Schwartz in Florida. Peter knew Marty and told me, “You can try it out, but no one can last very long with Marty. I’m going to do you a favor. I am going to keep you on the payroll.”

Schwartz had a reputation for holding on to employees only briefly, either because he fired them or they quit. Benedict, who worked for Schwartz for several months, may have been one of his longest-term hires. Ironically, I visited Schwartz—the first time I had seen him since our original interview—on the same trip on which I interviewed Benedict. When I mentioned Benedict, he literally shuddered. His comments regarding Benedict, which I will not repeat here, were uniformly negative. Benedict’s portrayal of Schwartz was equally unflattering, although he did credit Schwartz with paying for his relocation and acknowledged his phenomenal skill as a trader.

What did you learn from Schwartz?

Don’t average losing trades. Be smaller than you need to be. Take profits.

What happened after your brief stint of working for Schwartz?

I went back to Spear Leeds. Peter Kellogg, who had warned me that I wouldn’t last with Schwartz, liked me and gave me the opportunity to set up a Spear Leeds office in South Florida with another partner. We set up an operation with multiple managers trading different market groups. I directly traded a global macro portfolio and also oversaw the other traders.

Why did you leave Spear Leeds?

In 2000, Spear Leeds was bought out by Goldman Sachs. Goldman didn’t want an operation in Florida and asked me to come back to New York. I loved it down here and had no desire to go back to a suit-and-tie world. Steven Schonfeld of Schonfeld Securities offered me an opportunity to run a managed account for him. That is when I set up Banyan.

What was your experience during 9/11?

9/11 was a major learning experience for me. That morning I got a call from the broker covering me at Goldman Sachs. He said, “There is a plane sticking out of the World Trade Center.” I didn’t know what was